

SCAM-TAINTED The Wadhawan brothers being produced in a special CBI court in the Yes Bank case, Apr. 27, 2020

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of Rs 2,896 crore. The brothers also expanded the business through a string of acquisitions and diversified it from a pure home loan company to a broader financial services firm that extended loans for education and to small and medium enterprises, and entered the life and general life insurance business, besides mutual funds. They also lived life kingsize, owning a private plane, a yacht and a fleet of luxury cars, including a Rolls Royce Phantom and a Bentley, and moved around with gun-toting bodyguards.

Their father Rajesh Wadhawan had founded the company in the 1980s. He passed away in 2000, three years after Kapil took over. Rajesh's brother Rakesh and nephew Sarang ran the family's older real estate business, HDIL (formerly Housing Development and Infrastructure Ltd), until recently.

That storied rise now threatens to end in a precipitous fall. On June 20, the Central Bureau of Investigation

THE CBI ARRESTED KAPIL AND DHEERAJ WADHAWAN AFTER V.K. SHUKLA, HEAD OF UNION BANK'S INDUSTRIAL FINANCE BRANCH IN MUMBAI, COMPLAINED ON FEBRUARY 11, 2022

(CBI) booked the Wadhawan brothers for defrauding a consortium of banks, precipitating what is alleged to be the biggest banking fraud in the country. In its FIR, the investigation agency said it had received a complaint from Vipin Kumar Shukla, deputy general manager and branch head of Union Bank's industrial finance branch in Nariman Point, Mumbai, on February 11, 2022. The complaint alleged that DHFL, its then CMD Kapil Wadhawan, then director Dheeraj Wadhawan and others had entered into a criminal conspiracy to cheat the consortium. They allegedly induced the consortium to sanction Rs 42,871.42 crore in loans and are said to have "siphoned off and misappropriated a significant portion of these funds by falsifying the books of DHFL and dishonestly defaulted on repayment of the legitimate dues of the consortium, leading to a loss of Rs 34,615 crore...."

Two years earlier, in May 2020, the Enforcement Directorate (ED) had arrested the Wadhawan brothers for their alleged involvement in siphoning Rs 5,050 crore from Yes Bank in connivance with its founder Rana Kapoor. Their uncle Rakesh and cousin Sarang had been arrested in an alleged case of money-laundering in October 2019 by Maharashtra's Economic Offences Wing in the PMC Bank scam.

Coming close on the heels of the CBI's arrests of ABG Shipyard chairman Rishi Agarwal and other directors in February for the alleged misappropriation of Rs 22,842 crore from a consortium of 28 banks including the State Bank of India and ICICI Bank, the DHFL case is but another sorry chapter in the ongoing saga of the great Indian bank robbery. As of December 2021, public sector banks reported non-performing assets (NPAs) or unpaid dues of Rs 5.4 lakh crore. So how has DHFL contributed to the malaise?

THE RISE AND FALL OF DHFL

Right from his early days at DHFL's helm, Kapil retained the focus on the company's core business—loans to the lower and middle income groups. The acquisition of ING Vysya Bank's home loan division helped achieve scale and a base in south India. Then came the buyout of Deutsche Postbank Home Finance in December 2010. It rose to be one of India's largest mortgage financiers, even eyeing LIC Housing Finance at one point.

However, what Kapil had not bargained for was the intense competition that would crop up as new finance banks focused on small towns and cities. DHFL kept borrowing heavily from financial institutions by issuing commercial papers (CPs) to fund its lending to the public—all in the hope that it would be able to repay the loans. However, the IL&FS crisis of 2018, when the NBFC defaulted on loan repayments, meant that DHFL's CPs would find no takers. The downgrading of its CPs, in turn, sent its shares crashing. The ED's allegations of dubious transactions in the Yes Bank case did not help matters either.

DHFL had enjoyed credit facilities with Union Bank since 1984. Credit facilities are pre-approved loans that allow you to borrow money on an ongoing basis over an extended period rather than applying for a new loan each time. Union Bank as well as Corporation Bank and Andhra Bank (which were amalgamated into Union Bank in April 2020) had renewed these facilities from time to time. In July 2010, a consortium of 29 banks was formed under the leadership of Union Bank to lend to DHFL. (Some of the lenders exited subsequently; as of July 2020, the consortium had 17 members.) Apart from extending credit facilities, Union Bank, Andhra Bank and Corporation Bank had also subscribed to DHFL's non-convertible debentures (NCDs) amounting to Rs 262 crore between 2016 and 2019. NCDs are financial instruments companies use to raise long-term capital.